


# PARKSIDE APARTMENTS

## AUSTIN, TEXAS | 280-UNIT MULTIFAMILY INVESTMENT CASE

ILLUSTRATIVE OFFERING MEMORANDUM • HARBORVIEW REAL ESTATE PARTNERS

## Investment at a glance

| Metric | Underwriting |
|---|---|
| Proposed purchase price | $92,500,000 |
| Price per unit | $330,357 |
| Units / rentable area | 280 / 265,000 SF |
| Year built | 2018 (case assumption) |
| Year 1 occupancy | 92% |
| Stabilized occupancy | 95% |
| Going-in / exit cap rates | 4.18% / 5.25% |
| Hold period | 2027–2031 (five years) |

## Transaction positioning

Parkside Apartments is a fictional Class A multifamily acquisition opportunity used for an investment underwriting exercise. The analysis assumes an all-in acquisition funded with 65% loan-to-value debt and a five-year hold. At the proposed asking price, the base-case returns fall below Harborview's 15% levered IRR investment criterion.

All property photography is concept art; no address, verified comparable sales, property-level due diligence materials, or third-party market research have been supplied. This document is an educational case-study OM, not a live securities offering.

# 01 Property and investment overview

## Property description

Parkside Apartments is a 280-unit, Class A multifamily property in Austin, Texas, constructed in 2018. The underwriting assumes 265,000 net rentable square feet, with an average unit size of approximately 946 square feet. Specific street address, amenities, floor plans, and historical financial statements have not been provided.

## Underwriting strategy

The case assumes acquisition on January 1, 2027, stabilization from 92% occupancy in Year 1 to 95% beginning Year 2, a five-year ownership period, and sale on December 31, 2031. Annual rent growth is 3%; other income growth is 2%; fixed-dollar operating expenses and replacement reserves each grow 3% annually.

## Year 1 operating statement

| Operating metric | Year 1 |
|---|---|
| Gross potential rental revenue | $6,216,000 |
| Rental vacancy loss | ($497,280) |
| Effective rental revenue | $5,718,720 |
| Effective other income | $231,840 |
| Effective gross income | $5,950,560 |
| Operating expenses | ($2,082,696) |
| Net operating income | $3,867,864 |
| Replacement reserves (below NOI) | ($84,000) |
| Unlevered operating cash flow | $3,783,864 |

## Underwriting methodology

Operating expenses equal 35% of Year 1 effective gross income, then increase by 3% annually as a fixed-dollar expense base. Replacement reserves begin at $300 per unit annually. Vacancy applies to both rental and other income in the base case.

# 02 Capitalization and projected performance

## Acquisition capitalization

| Source / use | Amount |
|---|---|
| Purchase price | $92,500,000 |
| Acquisition costs (1%) | $925,000 |
| Loan origination fee (1% of debt) | $601,250 |
| Senior mortgage proceeds (65% LTV) | $60,125,000 |
| Required initial equity | $33,901,250 |

## Debt terms

The senior loan carries a 4.75% fixed annual interest rate, amortizes over 30 years with monthly principal and interest payments, and matures after five years. Annual debt service is approximately $3,763,686; the modeled balance at the end of Year 5 is approximately $55,013,315.

## NOI forecast

| Year | NOI |
|---|---|
| Year 1 (2027) | $3,867,864 |
| Year 2 (2028) | $4,181,367 |
| Year 3 (2029) | $4,304,366 |
| Year 4 (2030) | $4,431,007 |
| Year 5 (2031) | $4,561,396 |
| Year 6 forward NOI | $4,695,647 |

## Disposition assumptions

The exit value applies a 5.25% capitalization rate to Year 6 forward NOI. This yields a gross sale price of approximately $89,440,890. After 2% selling costs, proceeds before loan repayment are approximately $87,652,072. Repayment of the remaining mortgage leaves approximately $32,638,757 in net equity reversion proceeds.

# 03 Investment returns and sensitivities

## Base-case returns

| Performance measure | Result |
|---|---|
| Unlevered IRR | 3.31% |
| Levered IRR | 0.49% |
| Unlevered equity multiple | 1.16x |
| Levered equity multiple | 1.02x |
| Harborview levered IRR hurdle | 15.00% |

## Exit sensitivity highlights

| Exit cap / occupancy | Levered IRR |
|---|---|
| 5.25% / 90% | -4.26% |
| 5.25% / 95% (base) | 0.49% |
| 4.75% / 95% | 5.40% |
| 6.00% / 95% | -6.99% |
| 4.75% / 98% (best tested) | 7.65% |

## Maximum supportable purchase price

Excel Goal Seek, holding the case assumptions constant and preserving 65% acquisition LTV, indicates a maximum acquisition price of approximately **$71,925,473**, or **$256,877 per unit**, to meet a 15.00% levered IRR. This is approximately **$20.57 million (22.24%)** below the stated asking price.

## Investment committee recommendation

**Do not proceed at the $92.5 million asking price.** Under the modeled assumptions, the acquisition does not satisfy the sponsor’s 15% levered IRR hurdle, including under the most favorable tested sensitivity scenario. Any revised bid should be subject to refreshed diligence, verified rent roll and expenses, financing confirmation, and property-level valuation support.

## Risks and limitations

Key modeled exposures include exit capitalization rate expansion, occupancy underperformance, and debt-service burden. The case includes no property taxes beyond the operating-expense assumption, no separate extraordinary capital program, no refinancing, and no JV waterfall. Market forecasts and amenity claims have intentionally been excluded because they were not verified.

Prepared as a fictional educational case-study memorandum using the supplied Parkside Apartments DCF workbook. Figures are rounded and may differ slightly from unrounded Excel outputs.